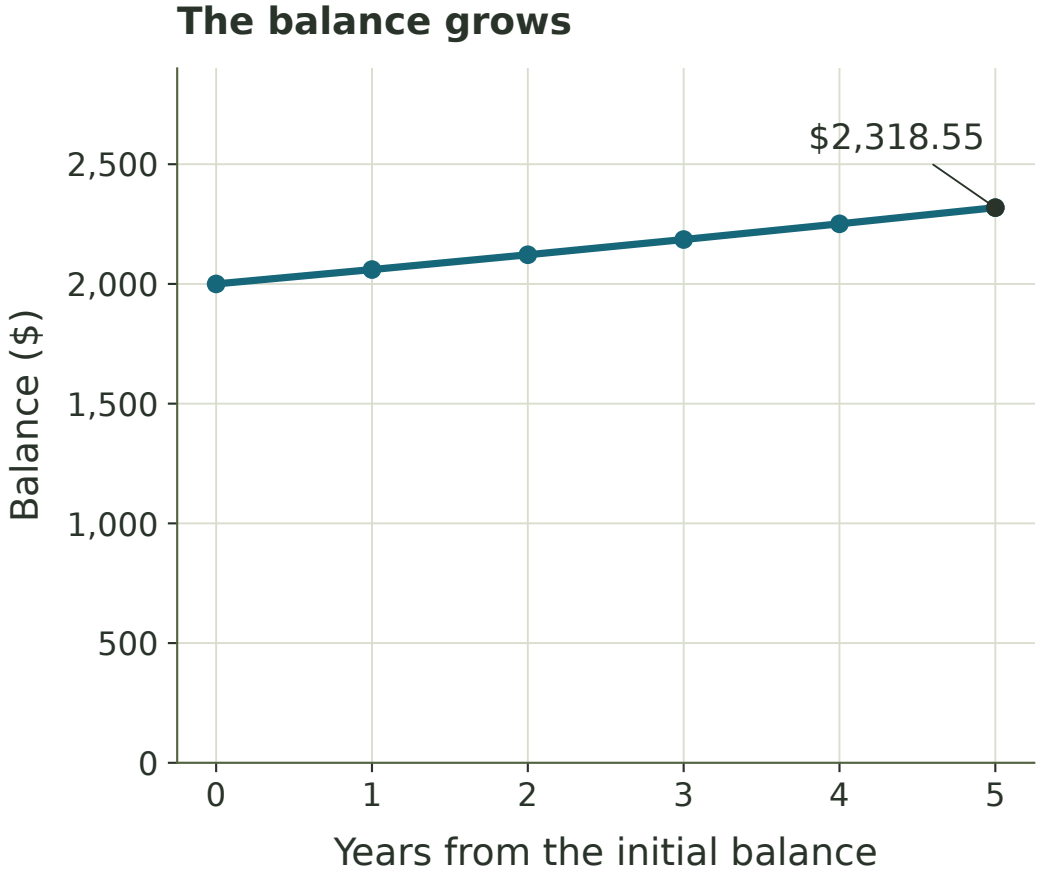
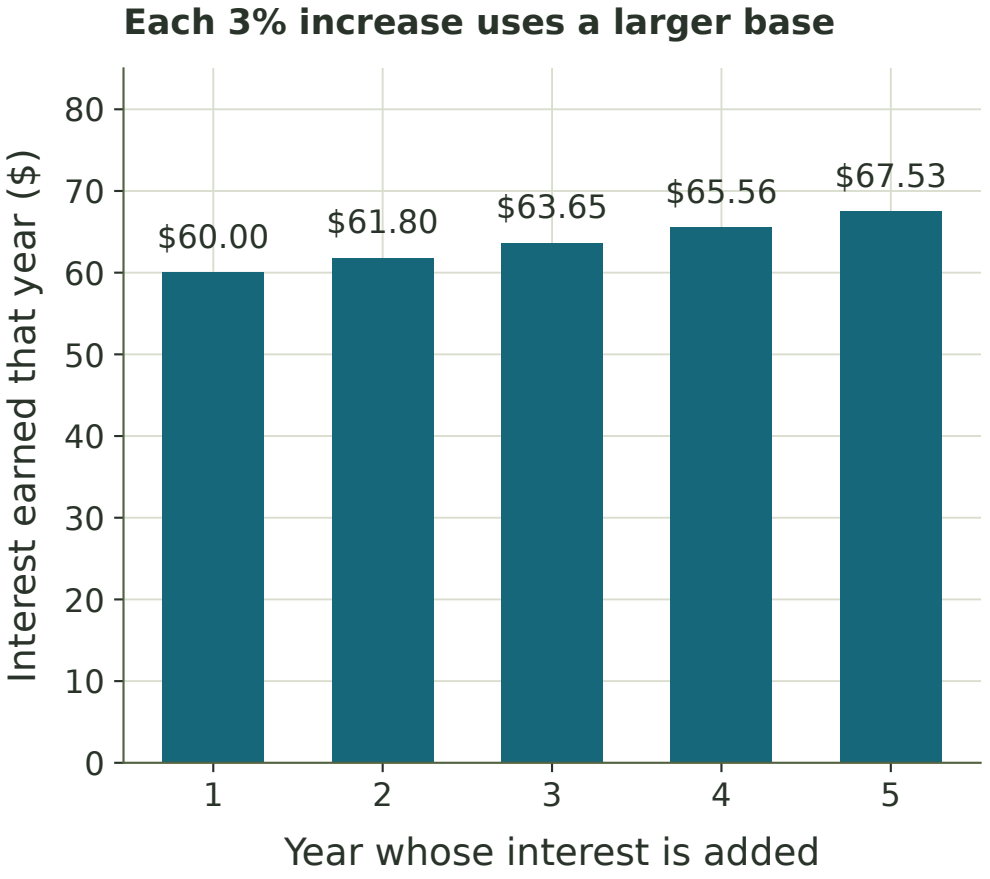

The balance grows
$2,318.55
2,500
2,000
1,500
1,000
500
0
Balance ($)
0
1
2
3
4
5
Years from the initial balance


Each 3% increase uses a larger base
$60.00
$61.80
$63.65
$65.56
$67.53
80
70
60
50
40
30
20
10
0
Interest earned that year ($)
1
2
3
4
5
Year whose interest is added